TCS India Policy - Gratuity

VERSION 9.0

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This India policy document on Gratuity, Version 9.0, has been published for use in TATA Consultancy Services (TCS) with effect from 08 June 2026.

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Definitions

Term	Definitions
Continuous Service	An employee is said to be in continuous service if he or she has been in uninterrupted service (including service which may be interrupted on account of sickness, accident and authorised leave) for not less than one hundred and ninety days during the period of twelve calendar months.
Family	"Family", in relation to an employee, shall be deemed to consist of:- 1. Spouse; 2. a minor legitimate or adopted child dependent upon the employee; 3. a child who is wholly dependent on the earnings of the employee and who is (a) receiving education, till s/he attains the age of twenty-one years; (b) an unmarried daughter; (c) a child who is infirm by reason of any physical or mental abnormality or injury and is wholly dependent on the earnings of the employee; 4. dependent parents (including father-in-law and mother-in-law of a woman employee), whose income from all sources does not exceed INR 14,000 or any other such income as may be prescribed by the Central Government 5. in case the employee is unmarried and his parents are not alive - a minor brother or sister wholly dependent upon the employee
Financial Year	Financial year for India is defined as: 01 April to 31 March.

Applicability

This policy is applicable to all Full Time Employees and Direct Contractors (Fixed Term Employees) of TCS India.

This policy is not applicable to: Business Associates, Contract Consultants, ACE Interns, BPOS trainees and Academic Interns.

Purpose

The purpose of the policy is to provide employees with Gratuity payment at the time of separation, as a mark of recognition for the service rendered.

Provisions

1. **Eligibility**

   a. Gratuity is a statutory benefit and is applicable to all employees who are governed under the provisions of The Code on Social Security, 2020.

   b. An employee who has rendered **continuous service** of 5 years (i.e. 4 years and 190 days in the context of TCS) becomes eligible for gratuity. Gratuity shall be payable on superannuation or on retirement or resignation or any other type of separation. It is further clarified that an employee must have completed 190 days of continuous service in each year of service in order to be eligible for gratuity in respect of that particular year. Any year in which an employee has not completed the requisite 190 days of continuous service will not be treated as a completed year for the purpose of computing the overall eligibility threshold of 4 years and 190 days. The prerequisite of completion of **continuous service** of 4 years and 190 days shall not be necessary where the termination of the employment of any employee is due to death or disablement or expiration of fixed term employment.

2. **Entitlement**

   a. The Gratuity amount is paid by TCS at the time of Separation.

   b. There is no contribution from the employee and TCS on a periodical basis.

   c. Effective November 21, 2025, employees shall be entitled to gratuity benefits in accordance with either the TCS-defined Gratuity Scheme or as per the Code of Social Security, 2020, whichever is more beneficial to the employee.

   Gratuity Payable Computation Table

   Note: The gratuity multiplier / experience factor of 0.5,0.75 or 1.0 applied for the computation of gratuity under TCS policy shall be determined and fixed based on the number of completed years of continuous service as on July 01, 2026.

Period of service	Gratuity amount
On or after completion of 5 years of continuous service but before completion of 15 years of continuous service with TCS.	More Beneficial of the below two: Half month's basic salary (0.5 x basic salary (last drawn) for every completed year of service as per the formula : 0.5 x basic salary (last drawn) x No. of years of **continuous service** *This factor of 0.5 applied for the computation of gratuity under TCS policy shall be fixed for all associates who have not completed 15 years of continuous service as on July 01, 2026 and the same shall continue to apply even after the employee completes 15 or 20 years of continuous service.* *OR* *As prescribed by The Code on Social Security, 2020:* 15/26 x monthly wages (last drawn) x No. of years of **continuous service**, subject to maximum Gratuity amount ceiling prescribed by the Government from time to time. At present, the notified ceiling for the purpose of Gratuity is ₹20,00,000,
On or after completion of 15 years of continuous service but before completion of 20 years of continuous service with TCS.	More Beneficial of the below two: Three-fourth of a basic salary (last drawn) for every year of **continuous service** as per the formula : 0.75 x basic salary (last drawn) x No. of years of **continuous service** *This factor of 0.75 applied for the computation of gratuity under TCS policy shall be fixed for all associates who have completed 15 years but have not completed 20 years of continuous service as on July 01, 2026 and the same shall continue to apply even after the employees complete 20 years of continuous service.* OR As prescribed by The Code on Social Security, 2020: 15/26 x monthly wages (last drawn) x No. of years of **continuous service**, subject to maximum Gratuity amount ceiling prescribed by the Government from time to time. At present, the notified ceiling for the purpose of Gratuity is ₹20,00,000.
On or after completion of 20 years of continuous service with TCS.	More Beneficial of the below two: One month's basic salary (last drawn) for every year of **continuous service** 1.0 x basic salary (last drawn) x No. of years of **continuous service** *This factor of 1.0 shall apply for the computation of gratuity under the TCS Gratuity Scheme only for employees who have completed 20 or more years of continuous service as of July 01, 2026. Employees who have not completed 20 years of continuous service as of July 01, 2026 will not be entitled to have their gratuity computed at this factor, even upon subsequently completing 20 or more years of continuous service after July 01, 2026.* OR As prescribed by The Code on Social Security, 2020: 15/26 x monthly wages (last drawn) x No. of years of **continuous service**, subject to maximum Gratuity amount ceiling prescribed by the Government from time to time. At present, the notified ceiling for the purpose of Gratuity is ₹20,00,000.
Incapacitation/permanent disability while in service	One month's basic salary (last drawn) for every year of **continuous service** OR As prescribed by the Code on Social Security, 2020, whichever is more beneficial.
On death while in service before completion of 20 yrs of service with TCS	One month's basic salary (last drawn) for each year of actual service and anticipated service (i.e. from date of death to normal retirement date) of the employee, provided aggregate period of actual service and anticipated service being limited to 20 years. OR As prescribed by the Code on Social Security, 2020, whichever is more beneficial.
On death while in service after completion of 20 yrs of service with TCS	One month's basic salary (last drawn) for every year of **continuous service** 1.0 x basic salary (last drawn) x No. of years of **continuous service** OR As prescribed by the Code on Social Security, 2020, whichever is more beneficial.
On completion of 1 year of service for Direct Contractors (Fixed Term Employees)	*As prescribed by The Code on Social Security, 2020:* 15/26 x last drawn wages x No. of years of **continuous service**, subject to maximum Gratuity amount ceiling prescribed by the Government from time to time. At present, the notified ceiling for the purpose of Gratuity is ₹20,00,000,
For employees joining on or after July 01, 2026.	As prescribed by the Code on Social Security, 2020 15/26 x last drawn wages x No. of years of **continuous service**, subject to maximum Gratuity amount ceiling prescribed by the Government from time to time. At present, the notified ceiling for the purpose of Gratuity is ₹20,00,000,

Example: *An associate who has completed 18 years of continuous service with TCS as on 1July 2026 is assigned a gratuity multiplier of 0.75, in accordance with the tenure-based framework prescribed under this policy.*

If such associate retires or otherwise separates from the Company on 1 April 2030, gratuity shall be computed based on the completed years of service at the time of separation, i.e., 22 years, and calculated on the more beneficial of the following two methods:

- *Option A:*
  0.75 × Basic Pay × 22
  (No monetary cap applicable)
- *Option B:*
  15/26 × Wages × 22
  (Subject to an overall maximum cap as per The Code on Social Security, 2020)

The higher of Option A or Option B shall be payable as gratuity to the associate.

Note: *For the purpose of calculating gratuity and for fixing the factor, any* ***continuous service*** *in excess of six months, over and above five years, shall be treated as one year.*

3. **Nomination**
   a. The employee has to select nominee(s) as beneficiary of the Gratuity fund in the event of his or her death.

   b. The employee may distribute the amount that may stand to his/her credit in the Fund amongst the nominees at his/her own discretion.

   c. If an employee has a family at the time of making a nomination, the nomination shall be made in favour of one or more members of his family and any nomination made by such employee in favour of a person who is not a member of his family, shall be void.

      Fresh nomination shall be made by the member on his/her marriage and any nomination made before such marriage shall be deemed to be invalid.

   d. If at the time of making a nomination the employee has no family, the nomination may be made in favour of any person or persons but if the employee subsequently acquires a family, such nomination shall forthwith become invalid and the employee shall make, a fresh nomination in favour of one or more members of his family. TCS shall not be liable for any payment made in good faith to a nominee on record where an updated nomination has not been submitted

   e. Where the nomination is wholly or partly in favour of a minor, the employee may, for the purposes of this Scheme appoint a major person of his family, to be the guardian of the minor nominee. Where there is no major person in the family, the employee may, at his/her discretion, appoint any other person to be a guardian of the minor nominee.

   f. The employee may change the nominee if the nominee predeceases the employee. The revised nomination takes effect immediately after the duly signed hard copy of the Nomination Form is submitted.

4. **Availing the Benefit**
   a. Gratuity shall be payable to an employee on separation due to

      i. Retirement

      ii. Resignation and other type of separation

      iii. Death or disablement

      Provided that the completion of **continuous service** of 5 years (4 years and 190 days in TCS context) shall not be necessary in case of separation due to death or disablement.

5. **Taxation**
   a. Gratuity amount paid to the employee over and above the amount payable as per the Code on Social Security, 2020 will be subject to taxation as per the Income Tax Act.

6. **Transfer of Gratuity**

   a. Gratuity payable to employee is non-transferable, except in case of Inter Tata Group transfers

7. **Forfeiture of gratuity**

   TCS has the right to forfeit Gratuity payment if employee is terminated from service for any act of wilful omission or negligence causing damage or destruction to TCS property, riotous or disorderly conduct or for an act constituting an offence involving moral turpitude.

8. **Special Scenarios**
   a. *Employee goes on Leave Without Pay (LWP)*
      - In case of Leave Without Pay the period of LWP will be counted as period of continuous service for the purpose of calculation of Gratuity However if an employee does not return from LWP or resigns while on LWP then the LWP period will not be counted as continuous service for the purpose of Gratuity calculation. In such cases, the last working day immediately preceding the LWP start date would be considered as the last working day for the purpose of counting continuous service.
      - In case of Leave Without Pay for medical reason; the period of LWP will be counted as period of continuous service for the purpose of Gratuity, even if employee does not return from LWP or resigns while on LWP.
      - For the avoidance of doubt, any unapproved period of unpaid leave, or any sabbatical / break that has been expressly documented as a break in service, shall be excluded from the computation of uninterrupted service for the purposes of this policy.

   b. *Employee goes on an International Assignment*
      - In all cases of International Assignment, the period of International Assignment will be counted as period of continuous service for the purpose of calculation of Gratuity at the time of Separation.
      - Last drawn India basic salary or wages as the case maybe, will be considered for gratuity calculation as per the table above.
      - For the avoidance of doubt, any additional payouts / allowances provided during the International Assignment shall not be considered for the purpose of computing gratuity.

   c. *Employee goes for an International Transfer (Transfer of employment)*
      - In all cases of International Transfer, the Gratuity is settled during India Full and Final Settlement.
      - The amount of Gratuity will be based on the length of service from date of joining TCS India until the date of transfer.
      - Last drawn India basic salary or wages as the case maybe prior to transfer, will be considered for gratuity calculation as per the table above.

      - For the avoidance of doubt, any additional payouts / allowances provided during the International Assignment shall not be considered for the purpose of computing gratuity.

   d. *Employee gets Transferred into TCS India from TCS overseas*
      - In all cases of International Transfer to TCS India the Gratuity entitlement will start from TCS India transfer date and any period of employment with TCS overseas will not be considered.

   e. *Employee separates from TCS*
      - Gratuity will be settled during Full and Final Settlement
      - In the event of death of the employee, the Gratuity amount will be given to the beneficiary as nominated by the employee in the nomination form or the legal heir in case no nomination is available.

   f. *Inter Tata Group Transfer*
      - In case of Inter Tata Group transfer, gratuity should be transferred from Transferor Tata Group Company to Transferee Tata Group Company.

Procedure

1. ***Enrolment***
   a. Enrolment is done by default from the date of joining TCS.

   b. For employees joining on or after July 01, 2026, the provisions of the Code of Social Security, 2020 will be applicable for gratuity computation/entitlement and shall be calculated at 15/26 of last drawn monthly wages for each completed year of service, subject to an overall cap as per the Code on Social Security, 2020.

2. ***Nomination***

For nomination, fresh nomination or alteration of nominations the process is as follows:

   a. At the time of joining the employees must ensure that they submit the nomination Form duly filled in to the ILP coordinator or the Induction SPOC. The ILP coordinator / Induction SPOC sends the Forms to the Corporate Retiral Nominations Team (CRNT) for further scrutiny and approval.

   b. Employee can make fresh nomination or alter the nominations through Ultimatix on the path given below and submit the duly signed/ authenticated Gratuity Nomination Form in the system

Login to *Ultimatix → Employee Services → Employee Self Services → Global ESS → Benefits and Taxes → Nomination Forms → Gratuity Fund Nominations*

3. ***Gratuity Payment***

Gratuity Payment will be done through direct deposit to employee's Salary account

Gratuity amount is paid along with Full and Final settlement or in the last payroll whichever is earlier. No application is required to be submitted by the employee for the same.

Note: *These provisions are only indicative. The provisions must be read and understood in the context of the payment of Gratuity provisions under The Code on Social Security, 2020.*

a. *Salary account is still active*
   - The payment is disbursed by the Gratuity Trust in INR and the mode of payment will be through direct deposit to the employee's Salary account

b. *Salary account is not active*
   - The Corporate FFS Cell will check for alternate bank account details of the employee to deposit the amount by the Gratuity Trust in INR.

c. *Payment to beneficiary in case of death of the employee*
   - The payment is disbursed by the Gratuity Trust in INR through direct deposit to nominee's Personal bank account.

Note: *The beneficiary/nominee is required to submit a copy of cancelled cheque of the bank account in which they wish to receive the credit of gratuity accumulations.*

In case of any queries raise a ticket in *Ultimatix → Employee Services → Help Desk → TCS Global Helpdesk → IT Services and others → HR Services → India → Retirals - Gratuity*

Terms & Conditions

1. All gratuity payments will be made in INR only.
2. TCS reserves the right to amend or revise the provisions of this policy in line with changes in applicable laws and statutory requirements.

Revision List

Revision Version No.	Policy Effective Date	Document Release/ Revision Date	Revision Description	Section No.	Rationale for change	Change type (add/ modify/ delete)	Policy Revision /Document Revision
9.0	8 June 2026	8 June 2026	Definition of Family updated	Definitions	In line with the Code on Social Security, 2020	Modify	Policy Revision
9.0	8 June 2026	8 June 2026	Modified gratuity computation for death while in service before 20 years of service and added provision for cases exceeding 20 years.	Provisions	In line with the Code on Social Security, 2020	Modify	Policy Revision
9.0	8 June 2026	8 June 2026	Modified process of gratuity payment in case of inactive salary account and death of an employee.	Gratuity Payment	As per current practice	Modify	Policy Revision
9.0	8 June 2026	8 June 2026	Modified gratuity computation for scenarios like , international travel and International transfer.	Special Scenarios	In line with the Code on Social Security, 2020	Modify	Policy Revision
8.0	21 Nov 2025	17 May 2026	Applicability extended to Direct Contractors (Fixed Term employees).	Applicability	In line with the Code on Social Security, 2020	Add	Policy Revision
8.0	21 Nov 2025	17 May 2026	Clarified gratuity entitlement on completion of 5 years (4 years and 190 days of continuous service in TCS context) for full time employees and 1 year of service for direct contractors (fixed term employees).	Provisions	In line with the Code on Social Security, 2020	Modify	Policy Revision
8.0	21 Nov 2025	17 May 2026	Modified gratuity computation formula on wages as per The Code on Social Security, 2020 and fixed gratuity factor basis tenure as on 1st July 2026 in TCS defined Gratuity Scheme,	Entitlement	In line with the Code on Social Security, 2020	Modify	Policy Revision
8.0	21 Nov 2025	17 May 2026	Clarified gratuity computation as per The Code on Social Security, 2020 applicable for employees joining on or after 1st July 2026	Procedure	In line with the Code on Social Security, 2020	Modify	Policy Revision
7.0	01 Jan 2019	24 Dec 2018	Continuous service in a period of twelve calendar months to be eligible for Gratuity has been revised from earlier 240 days to 190 days	Definitions	Policy Revision	Modify	Policy Revision
6.0	29 March 2018	12 July 2018	Revised that maximum Gratuity payable to eligible employee shall not exceed 20 lakhs	Entitlement → Gratuity payable as per Payment of Gratuity Act 1972	In line with Amendment in Payment of Gratuity Act, 1972	Modify	Policy Revision
5.0	15 Aug 2010	10 Mar 2017	Clarified the definition of continuous service	Definition	To provide clarity as per current process	Modify	Document Revision
5.0	15 Aug 2010	10 Mar 2017	Added that policy is not applicable to BPOS trainees	Applicability	To provide clarity as per current process	Modify	Document Revision
5.0	15 Aug 2010	10 Mar 2017	Provided additional clarification on Gratuity calculation	Entitlement	To provide clarity as per current process	Modify	Document Revision
5.0	15 Aug 2010	10 Mar 2017	Mentioned that fresh nomination to be submitted after marriage.	Nomination	To provide clarity as per current process	Modify	Document Revision
5.0	15 Aug 2010	10 Mar 2017	Added the point regarding salary to be considered for calculating gratuity for international transfers & deputations.	Special Scenario	To provide clarity as per current process	Modify	Document Revision
5.0	15 Aug 2010	10 Mar 2017	Updated the Nomination process and GHD path to raise ticket in case of queries.	Procedure	To provide clarity as per current process	Modify	Document Revision
4.0	24 May 2010	27 Feb 2012	Revision of Maximum Gratuity amount to Rs 10,00,000/	Provisions 2(c)	Based on amendment in the Payment of Gratuity Act 1972.	Modify	Policy Revision
4.0	NA (documentation of existing	27 Feb 2012	Changes made throughout the document for better clarity	Throughout the document	To provide clarity and bring in	Modify	Document Revision

	practice)				line with Payment of Gratuity Act 1972		
4.0	NA (documentation of existing practice)	27 Feb 2012	Change in gratuity payment process	Gratuity Payment(3)	To provide clarity as per current process	Modify	Document Revision
4.0	August 2010	27 Feb 2012	Clarification on last working day for LWP in case of non medical reason for purpose of Gratuity	Provisions 7 a (Special Scenarios)	To provide clarity	Modify	Document Revision
4.0	August 2010	27 Feb 2012	Clarification of continuous service in case of LWP for medical reason for purpose of Gratuity	Provisions 7 a (Special Scenarios)	To provide clarity	Added	Document Revision
3.0	15 Aug 10	15 Aug 10	Continuity of Service for Gratuity calculation for the Leave Without Pay(LWP) period	Special Scenarios a) Employee goes on LWP	Based on legal compliance and checks	Added	Policy Revision

2.0	15 Sep 08	01 Aug 09	Modification in wordings as follows: As per the Payment of Gratuity Act 1972, Gratuity will be paid based on 15 days' basic salary (last drawn) for every continuous year of service. Earlier clause was worded as half month's basic salary	Provisions (Entitlement)	Policy updated to include the exact statement present in 'Payment of Gratuity Act, 1972'. In practice, Gratuity calculation is being done as per the way defined in the Act.	Modify	Document revision
2.0	15 Sep 08	01 Aug 09	Inclusion of formula for Gratuity payment as per the Act and as per TCS scheme.	Provisions (Entitlement)	To clearly differentiate Gratuity calculation as per the Act and as per TCS scheme.	Add	Document revision
1.0	15 Sep 08	15 Sep 08	First Release	NA	NA	NA	NA